

EXCERPTS FROM THE *LOPER* RORSCHACH TEST

MAXIMALISM, BIFURCATION, AND THE CIRCUIT SPLIT OVER AGENCY DEFERENCE

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This paper was originally submitted for a Standards of Review seminar course offered at Penn State Dickinson Law during the Fall 2025 semester. The full paper, which can be [read here](#), looks at different approaches federal circuit courts have adopted following the Supreme Court's decision in *Loper Bright Enterprises v. Raimondo*. It argues that while the Sixth Circuit has adopted a "Maximalist" approach that treats technical policy judgments as pure questions of law, the D.C. and Second Circuits have correctly adopted a "Bifurcated" model, balancing independent judgment with deference to factual execution.

The following excerpt (Pages 7-18 of the original text) focuses on the substantive analysis of the circuit split. It contrasts the Sixth Circuit's decision in *Ohio Telecom Association v. FCC* with the D.C. and Second Circuits' approaches in *Sprint* and *Verizon*. It concludes by analyzing how the Supreme Court's decision in *Seven County Infrastructure Coalition v. Eagle County* validates the Bifurcated model. Omitted sections include the historical background on *Chevron* deference and the paper's final projections regarding potential Congressional responses.

THE CIRCUIT SPLIT: COMPETING MODELS OF POST-*LOPER* REVIEWA. *Model 1: The Maximalist Approach (The Sixth Circuit)*

The Sixth Circuit has emerged as the primary architect of the “Maximalist” model of post-*Chevron* review. This approach interprets *Loper Bright* as a mandate to eradicate the concept of “mixed questions of law and fact” in regulatory disputes, instead making them pure questions of statutory interpretation to be resolved *de novo*. The clearest example of this model is the court’s landmark decision in *Ohio Telecom Association v. FCC*, which vacated the Federal Communications Commission’s (FCC) 2024 order reclassifying broadband internet access as a telecommunications service.¹

1. The “Best Reading” Mandate and the Rejection of *Stare Decisis*

In *Ohio Telecom*, the court was presented with a recurring administrative law conflict since the 1990s: how to classify broadband internet under the Communications Act of 1934. For two decades, the FCC went back and forth between classifying broadband as a Title II “telecommunications service,” which is subject to common carrier regulation, and a Title I “information service,” which is subject to lighter regulation than a telecommunications service.² Under the *Chevron* doctrine, the Supreme Court had famously deferred to the FCC’s classification in *National Cable & Telecommunications Association v. Brand X Internet Services*, holding that the statutory term

¹ *Ohio Telecom Ass’n v. FCC* (In re MCP No. 185), 124 F.4th 993, 997-98 (6th Cir. 2025) (describing the 2024 Safeguarding Order treating providers as “telecommunications service”/Title II again).

² *Id.* at 997-1000 (the opinion walks through the FCC’s inconsistent approach, including 2015/2018/2024 shifts and prior D.C. Circuit *Chevron* approvals).

“telecommunications service” was ambiguous.³

However, instead of relying upon *Brand X*, the Sixth Circuit held that *Loper Bright* had fundamentally altered the precedential weight of *Brand X*. Under *Brand X*, a court’s prior decision upholding an agency interpretation under *Chevron* did not necessarily fix the statute’s meaning for all time; it only meant that the earlier interpretation was permissible in that case. After *Loper Bright*, an agency may still adopt a different interpretation, but a court judges that interpretation’s legality under the statute’s best reading, and *stare decisis* continues to bind courts to the holdings of prior cases.⁴ As a result, the court felt empowered to approach the statutory text treating *Brand X* as not fixing statutory meaning and then applying *Loper Bright*’s “single, best meaning.”⁵ This move effectively nullified the Supreme Court’s prior finding of ambiguity, showing the Maximalist view that *Loper Bright* empowers lower courts to override even Supreme Court precedent, if that precedent was based on deference rather than an independent judicial finding of meaning.⁶

2. Collapsing Technical Reality into Statutory Definition

The core of the Maximalist approach is the subordination of technical agency

³ *Nat’l Cable & Telecomms. Ass’n v. Brand X Internet Servs.*, 545 U.S. 967, 981-82 (2005) (holding that agency inconsistency is not a basis for declining deference, so long as the change is adequately explained).

⁴ In re MCP, 124 F.4th at 1002-03 (the court explains *Brand X* upheld a specific 2002 FCC order; the action now is the 2024 Safeguarding Order, therefore *Brand X* is not binding as “statutory *stare decisis*” for this different agency action); see also *Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244, 2273-74 (2024) (holding that *Chevron*-based precedents are subject to *stare decisis*, but only regarding the specific holding of lawfulness).

⁵ In re MCP, 124 F.4th at 1002-03; see also *Loper Bright*, 144 S. Ct. at 2266.

⁶ See *Brand X*, 545 U.S. at 982 (holding that a court’s prior construction of a statute trumps an agency construction only if the prior court decision held the statute “unambiguous”).

expertise to judicial textualism. The FCC argued that the functional architecture of the modern Internet, specifically how data packets are transmitted and routed, constituted a “telecommunications service.”⁷ The Sixth Circuit rejected this analysis in favor of a “best reading” largely based on contemporaneous dictionary definitions.⁸

The court focused on the statutory definition of “information service,” which includes the “offering of a capability for . . . acquiring, storing . . . [or] retrieving . . . information.”⁹ It reasoned that because broadband providers offer users the capability to acquire third-party content, such as Netflix or social media, they necessarily provide an information service, not a bare transmission service.¹⁰ By utilizing the “traditional tools of statutory construction” to treat the definitions of “telecommunications” and “information service” as mutually exclusive legal categories, the court effectively froze the regulatory classification of the internet based on the 1996 statutory text, leaving no room for the agency to adapt definitions to evolving technology.¹¹ The court stated explicitly that its goal was to “end the FCC’s vacillations,” signaling that the Maximalist model views policy flexibility not as a feature of administrative governance, but instead as a legal defect that needs to be cured by judicial finality.¹²

⁷ In re MCP, 124 F.4th at 1003-04.

⁸ *Id.* (utilizing 1990s dictionary definitions to determine the ordinary meaning of “offer” and “capability”).

⁹ 47 U.S.C. § 153(24) (2022).

¹⁰ In re MCP, 124 F.4th at 1003-04.

¹¹ See *Loper Bright*, 144 S. Ct. at 2266 (quoting *Wisconsin Central Ltd. v. United States*, 585 U.S. 274, 284 (2018)) (asserting that “every statute’s meaning is fixed at the time of enactment”).

¹² In re MCP, 124 F.4th at 1003-04.

3. The Displacement of the Major Questions Doctrine

The *Ohio Telecom* decision demonstrated how the Maximalist model renders the Major Questions Doctrine (MQD) increasingly redundant. Early on in the litigation, the Sixth Circuit stayed the FCC's order by invoking the MQD, arguing that net neutrality was a matter of "vast economic and political significance" which requires clear congressional authorization.¹³ However, in the final opinion based on the merits of the case, the court noted there was "no need" to rely on the MQD because the "plain language" of the statute was sufficient to invalidate the agency's action.¹⁴

This pivot reveals the power of the Maximalist model: it no longer requires the "extraordinary" step of declaring a policy a "major question" to strike it down.¹⁵ Instead, by the court treating every regulatory ambiguity as a question of law which must be resolved *de novo* under *Loper Bright*, the court can vacate significant agency actions through standard statutory interpretation. In the Sixth Circuit's view, there are no "gray areas" of delegation—there is only the law, which the court alone has the competence to define.

B. Model 2: The Bifurcated Approach (The D.C. and Second Circuits)

While the Sixth Circuit's Maximalist approach suggests that *Loper Bright* effectively flattened administrative law into a single inquiry involving statutory

¹³ *Id.* at 1001; see also *West Virginia v. EPA*, 597 U.S. 697, 716 (2022).

¹⁴ *Id.* at 715.

¹⁵ See Randolph May, *What's Up First — MQD or BR?*, YALE J. ON REG.: Notice & Comment (Aug. 28, 2024), <https://www.yalejreg.com/nc/whats-up-first-mqd-or-br-by-randolph-may/> [<https://perma.cc/X68W-CQN1>] (discussing the interplay between the "Best Reading" (BR) and Major Questions Doctrine (MQD) post-*Loper*).

interpretation, the D.C. and Second Circuits have coalesced around a “Bifurcated” model. In parallel decisions issued in 2025, *Verizon Communications, Inc. v. FCC* and *Sprint Corp. v. FCC*, these courts showed that independent judicial judgment on questions of law is able to peacefully coexist with substantial deference to agency policymaking.¹⁶ By separating the legal question of what the statute covers from the factual question of whether the carrier violated the statute, these circuits offer a pathway that is able to preserve the administrative state’s enforcement capacity without relinquishing the judicial duty to say what the law is.

1. Step One: Defining Statutory Boundaries *De Novo*

The Bifurcated model starts by strictly adhering to *Loper Bright*’s order to exercise independent judgment on statutory meaning. In *Sprint* and *Verizon*, the central legal question was whether customer location information (CLI), which is data gathered when a phone connects to a cell tower, constituted “customer proprietary network information” (CPNI) under Section 222 of the Communications Act.¹⁷ The carriers argued that because the statute defines CPNI as information that relates to the “location . . . of use of a telecommunications service,” it only covered data that was generated during an active voice call, but did not cover the passive device-location data that was gathered while a phone was idle.¹⁸

The FCC requested deference to its interpretation, but it was rejected; instead, both

¹⁶ *Sprint Corp. v. FCC*, 151 F.4th 347, 352-53, 359 (D.C. Cir. 2025); *Verizon Commc’ns Inc. v. FCC*, 156 F.4th 86, 94 (2d Cir. 2025).

¹⁷ *Sprint*, 151 F.4th at 353-54; *Verizon*, 156 F.4th at 94.

¹⁸ *Sprint*, 151 F.4th at 364-65 (citing 47 U.S.C. § 222(h)(1)).

courts engaged in a *de novo* textual analysis. The D.C. Circuit dismantled the carriers' textual arguments without relying on agency expertise, writing that "[e]very cell phone is a tracking device."¹⁹ The court found that the "best reading" of the statute was one that covered device location, as a phone has to connect to a tower to be available for a call; therefore the data relates to the provision of the service.²⁰ Likewise, the Second Circuit exercised "independent judgment" when rejecting Verizon's argument that the data was not obtained "solely by virtue of the carrier-customer relationship."²¹

Neither court found the statute ambiguous or relied on the FCC's prior orders to construct what the statute meant. Instead, they followed the mandate set by *Loper Bright* by using the traditional tools of construction to define what the outer boundaries of the agency's jurisdiction are.²² Once the courts established *de novo* that the location data fell within the statutory definition of CPNI, they moved into the second phase of review.

2. Step Two: Deference in Enforcement and Application

After establishing the legal boundary, both circuits then transitioned to a deferential posture to review how the FCC applied the law to the facts. This is the key distinction between the Bifurcated model and the Maximalist model: rather than treating the adequacy of the carriers' data security measures as a question of law that had to be reexamined, the courts treated it as a question of policy and fact, governed under *State*

¹⁹ *Id.* at 352, 364-66.

²⁰ *Id.* at 366 (concluding that "under the best reading of the statute, location CPNI is not limited to call location information").

²¹ *Verizon*, 156 F.4th at 95, 97-98 (holding that device-location data is obtained "solely" by virtue of the relationship because the voice service requires it to operate).

²² *Sprint*, 151 F.4th at 366; *Verizon*, 156 F.4th at 94 (citing *Loper Bright*, 144 S. Ct. at 2262-63).

Farm and the arbitrary and capricious standard.²³

The FCC had fined the carriers nearly \$200 million combined, finding that their reliance on contractual commitments from third-party data aggregators, or an “honor system,” failed to constitute “reasonable measures” to protect data.²⁴ The D.C. Circuit noted that while statutory interpretation is *de novo*, arbitrary and capricious review continues to be “highly deferential.”²⁵ In applying this standard, the court found that the FCC had “rationally concluded that Sprint and T-Mobile’s safeguards for CPNI were unreasonable,” particularly after they did not remedy defects after a large security breach occurred.²⁶

Similarly, the Second Circuit adopted a bifurcated posture when looking at how the penalties were calculated. The carriers attempted to argue that their conduct constituted a “single act or failure to act,” subject to a statutory cap of approximately \$2 million.²⁷ While acknowledging that the meaning of “forfeiture” is a legal question for the judiciary, the court held that the method of calculating that forfeiture, specifically whether to penalize per act or per day, is a policy choice delegated to the Commission’s enforcement discretion to determine the “unit of prosecution” within reasonable boundaries.²⁸ Therefore, the court reviewed the FCC’s decision to treat each third-party contract as a separate violation not as an interpretive question, but as a technical

²³ *Sprint*, 151 F.4th at 367; *Verizon*, 156 F.4th at 99.

²⁴ *Sprint*, 151 F.4th at 357-58.

²⁵ *Id.* at 359 (citing *Nat’l Lifeline Ass’n v. FCC*, 983 F.3d 498, 507 (D.C. Cir. 2020)).

²⁶ *Id.* at 368 (holding that the FCC “rationally concluded” safeguards were unreasonable); *Verizon*, 156 F.4th at 100.

²⁷ *Verizon*, 156 F.4th at 101-02 (citing 47 U.S.C. § 503(b)(2)(B)).

²⁸ *Id.* at 102 (“[W]e conclude . . . that the Communications Act vests the agency with some discretion to select, from a reasonable range of possibilities, the unit of prosecution.”).

application of the penalty framework, ultimately upholding the \$47 million fine against Verizon as “reasoned decisionmaking” within those delegated bounds.²⁹ This approach asserts the *Loper Bright* distinction between defining the existence of delegated authority through the law and utilizing discretion to review the exercise of that authority.³⁰

3. Rejecting Constitutional Avoidance

Finally, a defining feature of the Bifurcated model is its refusal to allow structural constitutional claims to swallow administrative law. The carriers argued that the FCC’s in-house adjudication of fines violated the Seventh Amendment right to a jury trial as articulated in *SEC v. Jarkesy*.³¹ Unlike the Fifth Circuit, which is discussed below in Model 3, both the D.C. and Second Circuits rejected this argument on statutory grounds, though they did so by acknowledging a significant procedural downgrade for the agency. Since Section 504(a) of the Communications Act allows a carrier to refuse payment and receive a collection action in district court, giving a trial *de novo*, these courts found a statutory safety valve.³² This mechanism makes the FCC’s forfeiture determination non-self-executing, more similar to an opening bid than a final judgment.³³ By resolving the dispute through these cumbersome statutory mechanics instead of constitutional

²⁹ *Id.* at 103; *Sprint*, 151 F.4th at 369 (finding the per-violation calculation “rational and properly within the Commission’s discretion”).

³⁰ *See Loper Bright*, 144 S. Ct. at 2263 (noting courts must fix the boundaries of delegated authority and ensure reasoned decisionmaking within them).

³¹ *Sprint*, 151 F.4th at 359-62; *Verizon*, 156 F.4th at 106-08; *see also SEC v. Jarkesy*, 603 U.S. 109, 122 (2024).

³² *Sprint*, 151 F.4th at 359-60; *Verizon*, 156 F.4th at 106-07.

³³ *Sprint*, 151 F.4th at 361 (explaining that the NAL “has no legal effect unless and until . . . a court enters a final judgment enforcing the Commission’s order”); *Verizon*, 156 F.4th at 106-07 (noting that the “FCC’s forfeiture order . . . does not, by itself, compel payment”).

invalidation, the Bifurcated model engages in a form of judicial triage, preserving the administrative state's power to enforce the law, even if it strips the agency of its power to adjudicate it with finality.³⁴

THE SUPREME COURT'S RESOLUTION: SEVEN COUNTY INFRASTRUCTURE V. EAGLE COUNTY

A. The "Rosetta Stone" for Post-Loper Review

Seven County Infrastructure Coalition v. Eagle County serves as the "Rosetta Stone" for post-*Loper* review. In reversing the D.C. Circuit's invalidation of an environmental impact statement, Justice Kavanaugh's opinion clarified that *Loper Bright*'s mandate for independent judgment does not eliminate deference to agency policy choices.³⁵ Instead, the threshold classification, statutory definition vs. discretionary scope, is now dispositive.³⁶

This case began after the Surface Transportation Board approved an 88-mile railroad line designed to connect the Uinta Basin's oil reserves to the national rail network.³⁷ The central question to the case was whether the National Environmental Policy Act (NEPA) required the agency to analyze the "upstream" effects of increased oil

³⁴ A third approach has emerged in the Fifth Circuit, which bypassed *Loper Bright*'s statutory framework entirely. In *AT&T Inc. v. FCC*, 149 F.4th 491 (5th Cir. 2025), the court vacated civil penalties on Seventh Amendment grounds under *Jarkesy*, holding that agency adjudication of common-law-like claims violates the jury trial right. This "Structural" Approach, while significant, does not engage with the law/fact boundary problem at the heart of post-*Loper* interpretation and is beyond this paper's scope.

³⁵ *Seven Cnty. Infrastructure Coal. v. Eagle Cnty.*, 145 S. Ct. 1497, 1511-12 (2025).

³⁶ See *id.* at 1512; see also Note, *National Environmental Policy Act—Administrative Law—Agency Deference—Seven County Infrastructure Coalition v. Eagle County*, 139 HARV. L. REV. 409, 414 (2025) (noting that the Court used the "threshold question of type of review" to determine the level of deference).

³⁷ *Seven Cnty.*, 145 S. Ct. at 1507.

drilling and the “downstream” effects of refining that oil thousands of miles away.³⁸ The D.C. Circuit had vacated the Board’s approval, holding that the agency failed to take a “hard look” at these reasonably foreseen impacts.³⁹ In reversing that decision, the Supreme Court did not only resolve a NEPA dispute, but it also provided a blueprint for how *Loper Bright* and *State Farm* co-exist.

This opinion invokes *Loper Bright* to assert judicial supremacy over legal definitions while invoking *State Farm* simultaneously to insulate agency fact-finding.⁴⁰ The Court affirmed that under *Loper Bright*, the meaning of a statutory term, such as the term “detailed” in NEPA’s requirement for a “detailed statement,” is “a question of law to be decided by a court.”⁴¹ The Court immediately distinguished this legal duty from the factual execution of that duty; they found that determining what specific details must be included in an EIS “involves primarily issues of fact” that are within the agency’s discretion.⁴²

Seven County involved NEPA, a “purely procedural” statute that imposes no substantive obligations, whereas the Communications Act empowers the FCC to regulate conduct directly.⁴³ Skeptics might argue this distinction limits *Seven County*’s

³⁸ *Eagle Cnty. v. Surface Transp. Bd.*, 82 F.4th 1152, 1177 (D.C. Cir. 2023), *rev’d sub nom. Seven Cnty. Infrastructure Coal. v. Eagle Cnty.*, 145 S. Ct. 1497 (2025); *see also Seven Cnty.*, 145 S. Ct. at 1508-09.

³⁹ *Seven Cnty.*, 145 S. Ct. at 1508-10 (describing the D.C. Circuit’s reasoning regarding upstream/downstream effects).

⁴⁰ *Seven Cnty.*, 145 S. Ct. at 1511-12 (citing *Loper Bright*, 144 S. Ct. at 2261; *Motor Vehicle Mfrs. Ass’n of U.S., Inc. v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29, 43 (1983)).

⁴¹ *Id.* at 1512 (citing *Loper Bright*, 144 S. Ct. at 2261).

⁴² *Id.* (quoting *Marsh v. Or. Nat. Res. Council*, 490 U.S. 360, 377 (1989)).

⁴³ 47 U.S.C. § 201(b) (2022) (authorizing the FCC to prescribe rules to ensure that all “charges, practices, classifications, and regulations” are just and reasonable); *see also Ohio Telecom Ass’n v. FCC*, 150 F.4th 694, 702 (6th Cir. 2025) (noting that the 1934 Act granted the FCC “broad authority to regulate interstate telephone communications” (quoting *Glob. Crossing Telecomms.*,

applicability to the substantive circuit split. However, the Court's reasoning was not tethered to NEPA's procedural limits, instead, it was tailored to the functional distinction between defining a legal term and executing a policy choice.⁴⁴ By validating this law vs. execution dichotomy, the Court provided a substantive signal that validates the Bifurcated model's attempt to save agency fact-finding from the Maximalist "axe."⁴⁵

This distinction addresses the "gap" created by *Loper Bright*. As some legal commentators have noted, *Loper Bright* created a large rift between the *de novo* review required for questions of law and the deferential review allowed for exercises of discretion.⁴⁶ *Seven County* functions as the Rosetta Stone because it teaches lower courts how to classify agency actions into one of those two categories without collapsing the distinction entirely. In declaring that "[t]he bedrock principle of judicial review in NEPA cases can be stated in a word: Deference," the Court implied that where a statute implies a degree of executionary flexibility, the judiciary's role shifts from being an independent interpreter to being a deferential overseer.⁴⁷ This holding fundamentally rejects the premise that *Loper Bright* transformed all regulatory disputes into questions of law, thereby reestablishing a safe harbor for administrative expertise, provided the agency

Inc. v. Metrophones Telecomms., Inc., 550 U.S. 45, 48 (2007))).

⁴⁴ *Seven Cnty.*, 145 S. Ct. at 1512 (distinguishing the "legal question" of defining the statutory term "detailed" from the factual determination of "what details need to be included," which involves "fact-dependent, context-specific, and policy-laden choices").

⁴⁵ *Id.* at 1512-13 (citing *Loper Bright*, 144 S. Ct. at 2261) (invoking "black-letter administrative law" principles to affirm that courts must be "most deferential" when reviewing predictive or scientific judgments); *Marsh v. Or. Nat. Res. Council*, 490 U.S. 360, 377-78 (1989) (explaining the reviewing court is "most deferential" when examining scientific determinations).

⁴⁶ Note, *supra* note 36, at 414 ("The *Loper Bright* Court thus created a large gap between . . . the deference afforded to an agency in a review-of-discretion posture . . . and . . . the *de novo* review of questions of law demanded by *Loper Bright*.").

⁴⁷ *Seven Cnty.*, 145 S. Ct. at 1515.

operates within the boundaries of clearly defined statutory terms.⁴⁸

⁴⁸ *Id.* at 1512 (“Courts should afford substantial deference and should not micromanage those agency choices.”).